ISSUER REVIEW · 6M2026

Ignitis grupė

Lithuania · Energy utility (networks, renewables, flexibility, supply)

OK

Position OK. Credit quality is stable: BBB+ / Baa1 ratings and leverage of 3.49x, inside the 3-4x target[3,1]. Profit is weaker, but the 2026 guidance was kept[4]. The held bond XS1646530565 is subject to the issuer's tender offer of 2026-10-19[5].

ADJUSTED EBITDA · 6M2026	ADJUSTED NET PROFIT · 6M2026
306.6 EUR m	115.8 EUR m
▲ 1.9 % vs 6M2025	▼ 20.8 % vs 6M2025
NET DEBT · 6M2026	**NET DEBT / EBITDA · 6M2026**
1,925.3 EUR m	3.49 x
▲ 19.6 % vs 6M2025	▲ 0.5x vs 6M2025

Quick summary

- **Earnings on track:** 6M Adjusted EBITDA was EUR 306.6m, up 1.9%. Networks and Customers & Solutions grew; Green Capacities fell to EUR 149.2m from 166.6m[6]. The 2026 guidance of EUR 550-600m was kept, and about half of it is already reached (51-56%)[4].
- **Debt under control:** net debt EUR 1,925.3m, almost unchanged since year-end (+0.7%). Leverage is 3.49x net debt / EBITDA. One metric lags: FFO / net debt 22.2% against a target of at least 23%[3,7].
- **Ratings stable:** S&P BBB+ (stable, confirmed 2026-07-28) and Moody's Baa1 (stable, first rating in 2026)[1].
- **Decision needed on a held bond:** on 2026-10-19 Ignitis offered to buy back XS1646530565 (2.000%, matures 2027-07-14). The buy-back is financed by a new EUR 300m green bond at 4.500% due 2031[5,8].
- **Profit is the weak spot:** adjusted net profit fell 20.8% to EUR 115.8m. Return on capital (Adjusted ROCE, LTM) dropped to 6.7% from 8.6%[9].

Key facts

ISSUER RATING
S&P BBB+ (stable), 2026-07-28; Moody's Baa1 (stable), 2026[1]

ANALYSIS DATE
2026-10-22

NEXT REPORT
Q3 2026 interim report - 2026-11-11[2]

COUNTRY
Lithuania

Securities held

Ignitis grupė ordinary share (IGN1L)
LT0000115768 · share

Ignitis 2.000% green notes 2027
XS1646530565 · 2.000% · 2027-07-14
Green bond · no separate rating found

Ignitis 1.875% green notes 2028
XS1853999313 · 1.875% · 2028-07-10
Green bond · no separate rating found

Ignitis 2.000% notes 2030
XS2177349912 · 2.000% · 2030-05-21
no separate rating found

01 Instruments held and ISINs

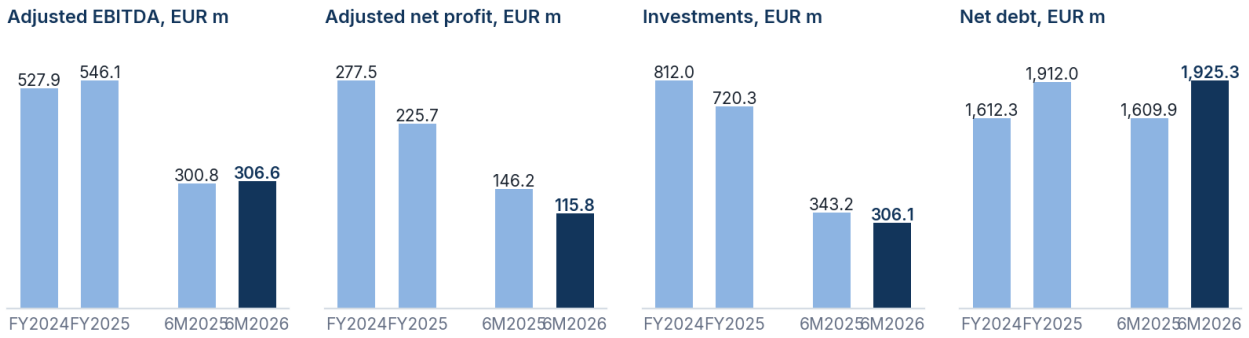
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
LT0000115768	Ignitis grupė ordinary share (IGN1L)	–	share		
XS1646530565	Ignitis 2.000% green notes 2027 Green bond	2.000%	2027-07-14	no separate rating found	Tender offer for any and all notes announced 2026-10-19 (refinanced by new EuGB 4.500% 2031)
XS1853999313	Ignitis 1.875% green notes 2028 Green bond	1.875%	2028-07-10	no separate rating found	
XS2177349912	Ignitis 2.000% notes 2030	2.000%	2030-05-21	no separate rating found	

02 Key ratios

METRIC	FY2024	FY2025	6M2025	6M2026	CHANGE
Revenue, EUR m[10]	–	–	1,298.0*	1,497.5*	▲ 15.4 % vs 6M2025
Adjusted EBITDA, EUR m[11,12,9]	527.9	546.1	300.8	306.6	▲ 1.9 % vs 6M2025
EBITDA, EUR m[11,9]	532.7	482.1	262.5	303.5	▲ 15.6 % vs 6M2025
Adjusted net profit, EUR m[11,12,9]	277.5	225.7	146.2	115.8	▼ 20.8 % vs 6M2025
Net profit, EUR m[11,10]	276.2	163.9	111.4*	113.2*	▲ 1.6 % vs 6M2025
Investments, EUR m[11,12,9]	812.0	720.3	343.2	306.1	▼ 10.8 % vs 6M2025
FFO, EUR m[13]	–	–	225.9*	251.4*	▲ 11.3 % vs 6M2025
Free cash flow, EUR m[13]	–	–	64.0*	5.3*	▼ 91.7 % vs 6M2025
Net debt, EUR m[11,3,14]	1,612.3	1,912.0	1,609.9	1,925.3	▲ 19.6 % vs 6M2025
Net debt / EBITDA[11,3,14]	3.05x	3.50x	2.99x	**3.49x**	▲ 0.5x vs 6M2025
FFO / net debt[11,3,14]	29.7%	21.0%	29.8%	**22.2%**	▼ 7.6 p. p. vs 6M2025
Adjusted ROCE[11,15,9]	9.0%	7.5%	8.6%	**6.7%**	▼ 1.9 p. p. vs 6M2025
Equity, EUR m[14,16]	2,436.8	2,494.7	2,492.0	2,636.1*	▲ 5.8 % vs 6M2025
Total assets, EUR m[14,16]	5,706.0	6,278.9*	5,897.3	6,339.2*	▲ 7.5 % vs 6M2025
Dividend per share, EUR[17,12,18]	1.33	1.366	0.683	0.704	▲ 3.1 % vs 6M2025
Installed green capacity, GW[12,19,9]	1.4	2.1	1.75	2.1	▲ 20.0 % vs 6M2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).



03 Business performance review

- **Networks:** investments EUR 208.3m (+26.1%), 68% of total; segment Adjusted EBITDA EUR 147.3m (132.6m)[20].
- **Green Capacities:** 2.1 GW installed, 0.6 GW under construction (0.7 GW after the Tume BESS FID), 3.4 GW secured[21]. EBITDA declined due to weaker wind in Q1-Q2 and a lower hedge price (EUR 130 → 82/MWh)[22].
- **Reserve Capacities:** Adjusted EBITDA EUR 17.9m (29.1m, −38%); the balancing market is becoming more competitive[6,22].
- **Customers & Solutions:** EBITDA EUR 0.2m (−27.7m); supported by higher volumes in a cold winter and one-off gas wholesale deals in Q1[4]. Prosumer impact c. EUR −30m EBITDA in 2025, expected somewhat higher in 2026, 60-70% to be covered by new legislation[22].
- **Projects and deals:** 49% of Vilnius CHP sold (Quaero Capital, March 2026); 399 MW / 798 MWh of BESS under construction; Kruonis PSHP unit 5 ~80% complete; data-centre partner search launched 2026-08-11[23,4].
- **Safety:** a contractor employee was fatally injured in February 2026[24].

04 Financials

- 6M revenue EUR 1,497.5m (+15.4%), EBITDA EUR 303.5m (262.5m), net profit EUR 113.2m (111.4m)[25].
- FFO EUR 251.4m (+11.3%), free cash flow EUR 5.3m (64.0m); investments EUR 306.1m (343.2m, −10.8%)[26].
- **FY2025:** Adjusted EBITDA EUR 546.1m (+3.4%), adjusted net profit EUR 225.7m (−18.7%), net debt up 18.6% to EUR 1,912.0m, FFO / net debt 21.0% (29.7% in 2024)[11,12].

05 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
2026 Adjusted EBITDA EUR 550-600m (set 2026-02-25)	6M: EUR 306.6m; guidance reiterated 2026-08-12[12,4]	On track: 6M covers 51-56% of the range. Networks and Customers & Solutions grew; Green Capacities fell on weaker wind and a lower hedge price[6,22].	**In progress**
2026 investments EUR 590-690m	6M: EUR 306.1m (44-52% of the range)[12,27]	On track: 6M investments EUR 306.1m (−10.8% y/y); 68% went to Networks[27].	**In progress**
Strategy 2025-2028: investments EUR 3.0-4.0bn, 2028 Adjusted EBITDA EUR 600-680m	New strategy 2026-2029: investments EUR 2.5-3.0bn, 2029 EBITDA EUR 640-700m (investment envelope reduced)[28,7]	Changed: the new 2026-2029 plan cuts the investment envelope to EUR 2.5-3.0bn and raises the EBITDA target to EUR 640-700m for 2029. Reason: not stated in the sources reviewed[7].	**Revised**
FFO / net debt ≥23% (2026-2029)	YE2025: 21.0%; 30 Jun 2026 (LTM): 22.2%[7,3]	Improving but still below target: 21.0% → 22.2% as FFO grew 11.3% while net debt stayed flat (+0.7%)[29].	**Not met**
Net debt / Adjusted EBITDA 3-4x; rating BBB or above	3.49x; S&P BBB+, Moody's Baa1[7,3,1]	Met: leverage 3.49x, in the middle of the range; net debt +0.7% since YE2025; ratings stable[3,1].	**Met**
Dividend per share growth ≥3% a year	2025: EUR 1.366 (+3.0%); H1 2026: EUR 0.704 (+3.1%)[7,12,4]	Met: +3.0% for 2025 and +3.1% for H1 2026, although adjusted profit fell 20.8% and free cash flow (EUR 5.3m) does not cover the dividend[13,4].	**Met**
Green capacity 2.8-3.2 GW by 2029	2.1 GW installed, 0.7 GW under construction[7,30]	Progressing: 2.1 GW installed + 0.7 GW under construction = 2.8 GW, the bottom of the target range (own calculation)[30].	**In progress**

06 Investor information & conclusions

- **Instruments held:** shares (IGN1L) and three bonds (2027, 2028, 2030). The bonds are senior unsecured and carry the issuer rating of BBB+ (S&P)[5].
- **For bondholders:** leverage (3.49x) is within the strategic 3-4x range and ratings are stable; FFO / net debt (22.2%) is still below the ≥23% target. Investment is mostly in regulated networks[31,7,1].
- **XS1646530565:** the 2026-10-19 tender offer requires a decision (tender or hold to 2027-07-14). Terms and deadline are in the issuer's Tender Offer Launch Announcement[5].
- **For shareholders:** H1 dividend EUR 0.704 (+3.1%), while adjusted profit is declining (−20.8%). Free cash flow EUR 5.3m - investment and dividends are partly debt-funded[13,4].
- **Conclusion:** financial position broadly unchanged versus year-end 2025; credit metrics within strategic limits, ratings stable. Watch: 9M report (2026-11-11), wind and price effects on Green Capacities, FFO / net debt returning to ≥23%.

COVENANTS

- **No financial covenants in the bonds:** the issuer states its bonds carry no covenant constraints, except maintaining the investment grade rating for the EIB loans. Discipline comes from the ratings and the issuer's own targets (net debt / EBITDA 3-4x, FFO / net debt ≥23%)[5,3].

07 Market and environment

- **Cold winter cut both ways:** Customers & Solutions EBITDA rose significantly on higher volumes in the cold winter and one-off gas wholesale deals in Q1[32]; but Green Capacities EBITDA fell 10% to EUR 149m on lower captured price and volume – the hedge price fell from EUR 130 to 82/MWh and wind speeds were very low in the cold winter[22].
- **Balancing market maturing:** Reserve Capacities EBITDA fell 38% on lower balancing-capacity results as the market becomes more competitive, plus a planned overhaul of Elektrėnai Unit 7[22].
- **Regulation:** under the new prosumer law, from 2027-01-01 the tariff will be funded by prosumers (up to EUR 0.01/kWh) and other consumers (up to EUR 0.003/kWh)[33]; the CFO expects this to cover about 60-70% of current losses (prosumer EBITDA was about EUR -30m last year)[22].
- **Guidance unchanged:** 2026 Adjusted EBITDA EUR 550-600m, investments EUR 590-690m[32].

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
ECB deposit facility rate	2.50% (2026-09)	2.25%	–	–
3-month Euribor	2.63% (2026-10)	2.43%	2.03%	▲ 0.60 p. p.
6-month Euribor	2.97% (2026-10)	2.65%	2.11%	▲ 0.87 p. p.
12-month Euribor	3.24% (2026-10)	2.86%	2.19%	▲ 1.05 p. p.
Euro area AAA government 10-year yield	3.27% (2026-11)	3.34%	2.77%	▲ 0.50 p. p.
Euro area inflation (HICP, annual)	1.90% (2025-12)	2.20%	2.40%	▼ 0.50 p. p.

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

08 In the press

- **Green bond and tender:** on 2026-10-19 the group announced its first European Green Bond (EuGB) issue and a tender offer for the notes due 2027-07-14; on 2026-10-20/21 the press reported the EUR 300m 5-year bond was priced at a 4.500% coupon[34,35].
- **Offshore wind:** on 2026-10-22 the press widely reported that the group proposes to postpone the Baltic offshore wind project (Curonian Nord) as costs rose 27% (a project of about EUR 3bn)[36].
- **Management:** the final candidate for Chair of the Management Board and CEO was approved (2026-09-23); a board member for Energy Markets and Commerce was selected (2026-10-21)[37,38].

Automatic news scan (Google News, EN, EE, LT, LV), 2026-08-12 – 2026-11-10: 161 articles.

2026-10-30	BONDS	Ignitis prices €300M green bond at 4.5% as order book tops €1B Dealroom · 4 more similar articles
2026-10-23	BONDS	Ignitis Group Prices €300 Million European Green Bond Serrari Group · 14 more similar articles
2026-10-18	DIVIDENDS	Ignitis Grupe names CEO candidate and pays dividend per Ignitis Grupe stock AD HOC NEWS
2026-11-03	MANAGEMENT	Pokyčiai Vidaus vandens kelių direkcijoje: tarp išrinktųjų – buvęs „Ignitis“ vadovas 77.lt
2026-10-21	MANAGEMENT	Selection announced for a member of the Management Board of “Ignitis grupė” responsible for Energy Markets and Commerce Yahoo Finance UK · 2 more similar articles
2026-09-24	MANAGEMENT	Approved the final candidate for the position of Chair of the Management Board and Chief Executive Officer of AB “Ignitis grupė” Yahoo Finance UK · 11 more similar articles
2026-11-10	RESULTS	Earnings To Watch: Ignitis Group AB (OVSE:IGN1L) Q3 2026 -- GF V GuruFocus · 1 more similar articles
2026-10-28	RESULTS	Ignitis Group to present 9M 2026 results on 11 November The Manila Times · 1 more similar articles

2026-11-10	OTHER	„Ignitis grupė“ domisi „Litgrid“ energetinių salų projektu: dalyvaus konsultacijose tv3.lt · 1 more similar articles
2026-11-07	OTHER	Ignitis Renewables brings 174 MW Tume solar farm online in Latvia Solarbytes · 4 more similar articles

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

- **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
  - No weapons, tobacco or gambling.
  - No coal generation and no oil & gas exploration[17].
  - Owns the gas-fired Elektrėnai complex (reserve capacity) and supplies gas - not restricted by the SEB fossil fuel policy (restricts coal >5% of revenue and new exploration).

- **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
  - No red flags (UNGC / OECD breaches) found in public sources and the news scan (2026-10-22).
  - Ignitis states it upholds the UN Global Compact principles[17].

- **Yes, the company is not in the list of sanctions (add a screenshot)**
  - Not found on the EU, UN, US OFAC consolidated sanctions lists (automatic check 2026-11-10).

  Manual check
  - OFAC sanctions search[39]
  - EU Sanctions Map[40]
  - SEB eNameChecker (internal SEB system).

- **Yes, issues were not identified from adverse media checks (add a screenshot)**
  - No adverse news found in the automatic news scan (Lithuanian, Latvian, Estonian and English media, last 30 days, 2026-10-22).
  - News summary 2026-08-12 – 2026-11-10: 161 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

- **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
  - Core activities are green generation (2.1 GW installed, 0.6 GW under construction) and power networks[9]
  - Green bonds and a new EU Green Bond Standard (EuGB) bond[8].

- **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
  - EU Taxonomy-aligned capex 84.7% in 2025[17].
  - SBTi-validated targets in line with 1.5°C
  - Net zero by 2050 or sooner[41].

✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**

No material yellow flag
- No UN Global Compact related controversies found.

To note
- A contractor employee was fatally injured in February 2026[24]
- Scope 1 emissions rose 54.7% in 2025 due to higher gas generation[17].
- Safety is managed under ISO 45001[42].

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

Applicable
- The SEB Investments policy[43], the Electricity & Renewable Energy policy, since green generation and networks make up more than 15% of revenue[44], and the Fossil Fuels policy for gas distribution, gas supply and the Elektrėnai reserve plants.
- The gas revenue share was not found[45,46].

Requirements met
- Scope 1-3 emissions disclosed (4.49m t CO2e in 2025) and SBTi-validated 1.5°C targets[47]
- ISO 14001 environmental management at ESO, Ignitis gamyba, Ignitis and the Vilnius and Kaunas CHPs[42].
- No coal, peat or oil & gas extraction[17].

Expectations met
- ISO 45001 safety management, no fatal accidents in 2025[48,42]
- Trust line for anonymous reports[49]
- Anti-corruption policy and ISO 37001 certification[42,49]
- UN Global Compact[50]
- Integrated annual report with climate data[17]
- Biodiversity monitoring and mitigation measures[51].

Could be improved
- No named human rights due diligence process or quantified biodiversity targets are published[52].

Additional comments:

ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**
- No need: the company meets SEB policy expectations and has no red flags.

Additional comments:

INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- Total GHG emissions 4.49m t CO2e in 2025 (+10.1%)[17]
- Carbon intensity (Scope 1+2) 214 g CO2e/kWh in Q1 2026 (–12.8%)[24]
- Taxonomy-aligned capex 84.7%[17]
- SBTi-validated 1.5°C targets[53].

Additional comments:

Conclusion: No exclusions or red flags. Strong green profile: 84.7% Taxonomy-aligned capex and SBTi-validated targets. Worth watching: higher gas generation in 2025 and contractor safety.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Electricity & Renewable Energy sector policy; Fossil Fuels sector policy (coal, oil & gas, peat); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

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